

## **Summary:**

### **SMI3 – Model Approach and Validation Approval**

- The team presented the SMI3 model approach and requested approval to proceed with business and technical validation.
- SMI3 is simpler than SMI2, with 18 features compared to 467. Key risk drivers include credit score, HPI, LTV, number of borrowers, and market code.
- Back-testing results showed reasonable model performance. Code reviews were completed with no material issues.
- MSC approved the SMI3 model approach and proceeding with business and technical validation.

### **Discussion Summary**

- The group discussed the simpler model design and improved runtime. SMI3 runtime decreased from approximately 6 seconds to 0.1 seconds.
- The team confirmed that no material blind spots were identified compared to SMI2.
- TrueVision will be used for credit score, with Equifax FICO 10 available as a backup.

### **SMI3 – Funded Model Selection**

- The team compared the funded model with the all-application model. Approximately 96% of files had similar risk results.
- The team recommended the funded model because it is simpler, easier to understand, and considers key risk factors beyond credit score.
- MSC supported proceeding with the funded model.

### **SMI3 – Revised Contingency Approach**

- The team presented a revised contingency approach for SMI3. The previously approved rule-based backup model will be replaced with an AWS disaster recovery solution.
- Model files will be copied to Canada West as a backup. If Canada Central becomes unavailable, the model can be restored in Canada West through the disaster recovery process.
- MSC approved the revised contingency approach.

### **Discussion Summary**

- The group discussed potential SageMaker outages and the four-hour recovery target.
- The team confirmed that manual underwriting can continue if the model is temporarily unavailable.

### **SMI3 – Project Status**

- MF provided the SMI3 project update. Business and technical validation will start on July 20.
- The current validation timeline is 12 weeks. The team will assess whether the timeline can be shortened based on work already completed and resource availability.

### **Fraud Model – Model Tiering**

- The team presented the proposed Tier 3 rating for the Fraud Model.
- The model provides daily suspicion scores to help fraud analysts prioritize files. It does not make automated decisions, and a fraud analyst remains involved in the decision process.
- MSC approved the Tier 3 rating for the Fraud Model.

### **Discussion Summary**

- LD confirmed that the Fraud Model is one of several tools used to prioritize files, along with Equifax IQ Manager, underwriting referrals, and other fraud indicators.
- The group discussed using model results to identify broader fraud trends.

### **Tier-1 Model Monitoring Summary**

- AA reported no technical metric breaches and two minor business metric breaches for LPM2 and SMI2.
- The LPM2 quarter-over-quarter loss increase was mainly driven by higher new business volumes. Excluding the new 2026 book year, losses increased by approximately 2%.
- SMI2 percent-green remained within threshold for all regions except Atlantic. The increase in Atlantic was mainly driven by improved credit quality.
- The models remain fit for continued use, with no escalation required.
- MSC approved the quarterly model monitoring update.

### **Discussion Summary**

- The group discussed improving the LPM monitoring approach to better separate changes caused by new business volume from underlying portfolio performance.
- The team will continue to monitor the SMI2 Atlantic results and review the drivers of the change.

#### **Prior MSC Minutes / Outstanding Items**

- The team confirmed that all four outstanding items from the prior MSC meeting were completed, with supporting materials included in the meeting slides.

#### **Action Items Summary:**

| <b>Action Item</b>                                                                        | <b>Owner</b>               | <b>Timeline</b>           |
|-------------------------------------------------------------------------------------------|----------------------------|---------------------------|
| Start SMI3 business and technical validation and assess if the timeline can be shortened. | SMI3 / Validation Teams    | July 20, 2026             |
| Implement the approved SMI3 disaster recovery approach.                                   | SMI3 / MLOps / Technology  | As part of implementation |
| Consider updates to LPM monitoring to better separate new business volume impacts.        | Modeling Team              | Future LPM3 development   |
| Continue to review SMI2 Atlantic percent-green results and key drivers.                   | Modeling / Monitoring Team | Ongoing                   |